From: Yardeni QuickTakes <yardeni-research@ghost.io>
Subject: Weekly Roundup - October 11th
Date: 19 hours ago

Weekly Roundup - October 11th

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Weekly Roundup - October 11th

By Ed Yardeni • 11 Oct 2026

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Thank you for being a valued member of Yardeni QuickTakes. Here's a recap of the insightful articles, webinars, and market analyses you enjoyed this week:

GLOBAL MARKETS CALL: French Toast & Brazilian Bossa Nova

I. Bonds The global bond market remains jittery, though yields may be starting to stabilize after their rout in recent…

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US MARKETS CALL: Is The 10-Year Bond Yield Back To The Old Normal?

I. Bonds The Economist just rang the all-clear siren for the bond market (chart). It is safe to buy bonds now that the…

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Lots Of FEMO In Q3's Earnings Reporting Season

I. FEMO in Q3 We have spent much of the past few months marveling at Corporate America's Fabulous Earnings Momentum (F…

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The Bond Yield Spectrum

I. From The Good To The Bad To The Ugly The spectrum of explanations for the rise in bond yields worldwide includes re…

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WEEKLY WEBCAST: Bond Yields On The Spectrum: From Good To Ugly (with special guest Nick Raich)

Is the bond selloff the Revenge of the Bond Vigilantes, i.e., a looming debt crisis? Not yet. Despite the recent surge,…

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2028 Should Be A Good Year

I. Blue skies ahead for earnings? We are now seven years into our Roaring 2020s thesis, which remains our base case fo…

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In Praise Of Profits

I. Profits, Cash Flow & Capital Spending Corporate profits are the economy's lifeblood. As Dr. Ed explains in his 2021…

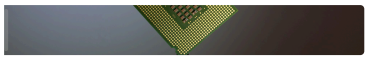
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US SECTORS CALL: Information Technology, Consumer Discretionary & Consumer Staples

The S&P 500 fell 0.3% last week. Energy (OW) and Information Technology (MW) led the week's sector performance derby, b…

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GLOBAL MARKET CALL: Bond Vigilantes Gone Wild

The Bond Vigilantes have gone wild worldwide, pushing government bond yields higher in developed and emerging markets a…

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Subject: GLOBAL MARKETS CALL: French Toast & Brazilian Bossa Nova
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GLOBAL MARKETS CALL: French Toast & Brazilian Bossa Nova

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GLOBAL MARKETS CALL: French Toast & Brazilian Bossa Nova

By Ed Yardeni & Toby Hearst • 10 Oct 2026

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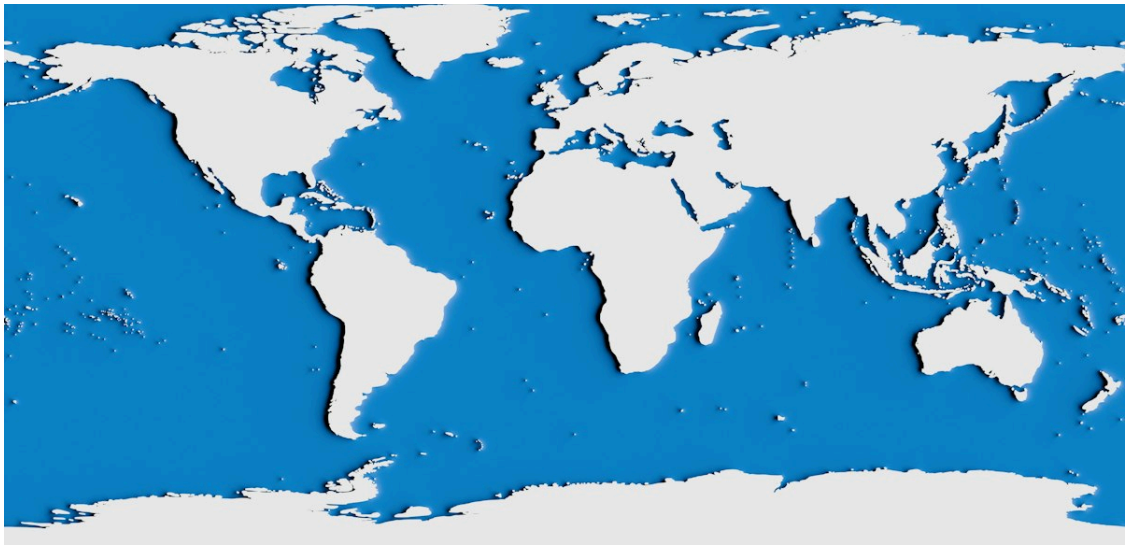
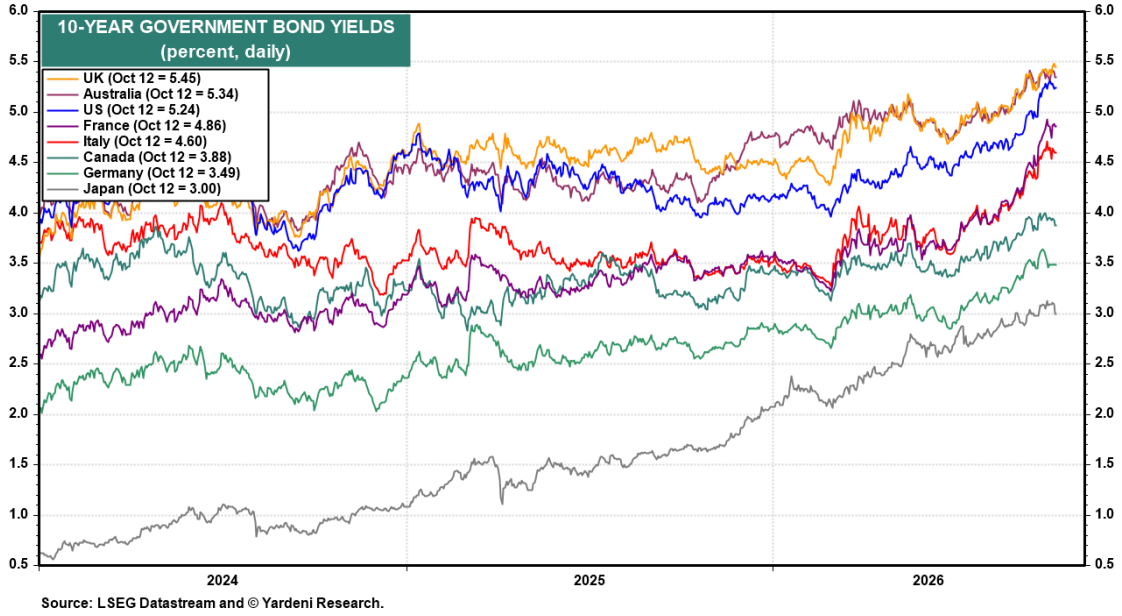


Photo by Insaanu Studio / Unsplash

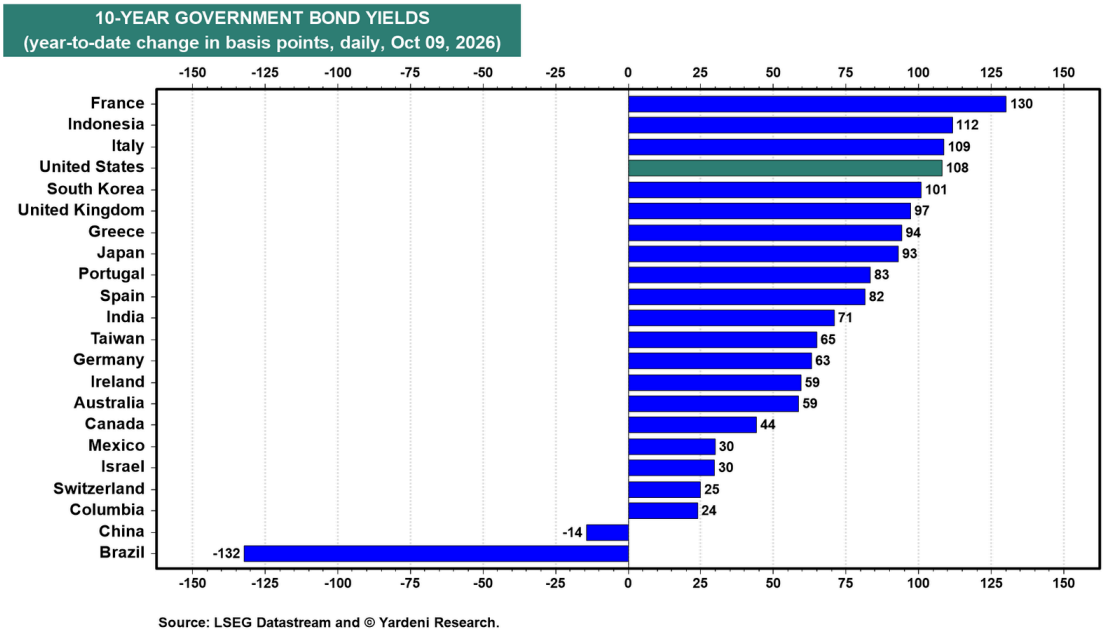
I. Bonds

The global bond market remains jittery, though yields may be starting to stabilize after their rout in recent months (chart). Nevertheless, geopolitical turbulence may still buffet them.



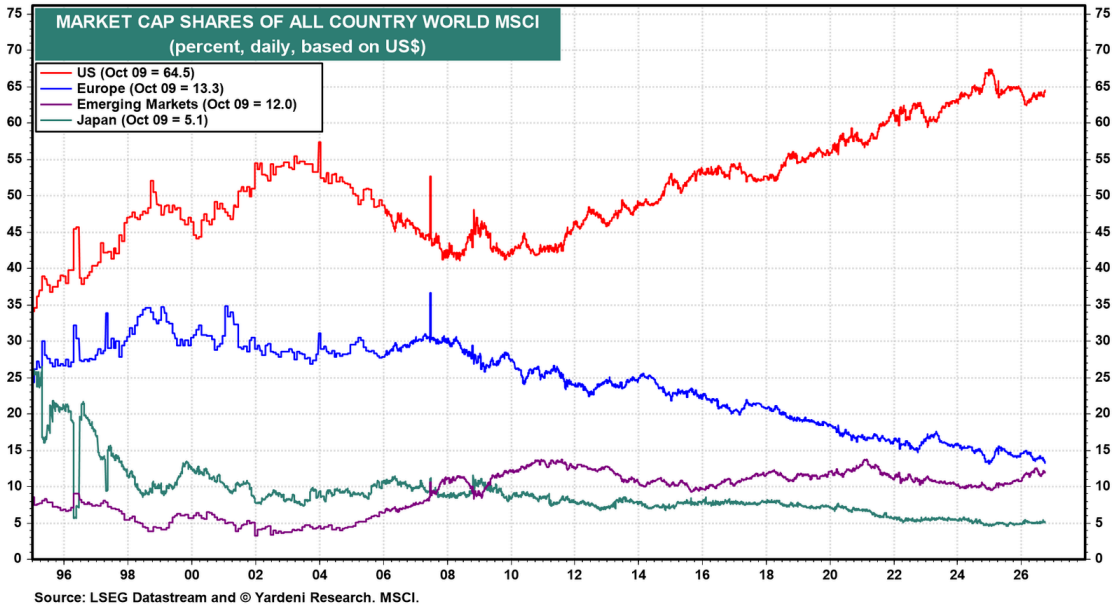
Yields have risen for an assortment of reasons, from better-than-expected economic growth (US) to fiscal instability concerns (France). Brazil and China are the only major countries showing declines in bond yields so far this year (chart).

Bond yields have also risen on higher-for-longer oil prices as the war in the Middle East has continued to disrupt oil supplies. The Houthis have said airliners should avoid Saudi airspace, declaring it a zone of military operations after the Saudi-backed Yemeni government launched an offensive against the group earlier this month. On Saturday, a third attack this week on Riyadh's international airport left 12 people dead and dozens wounded. President Donald Trump said the US will "look at" joining Saudi strikes on Houthis.

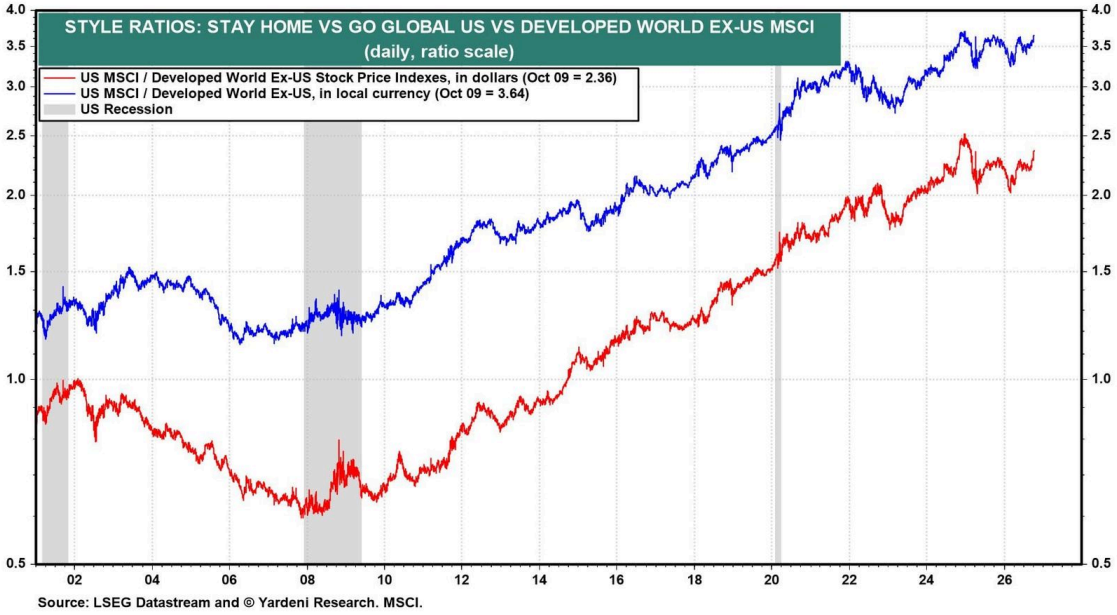


II. Stay Home vs Go Global

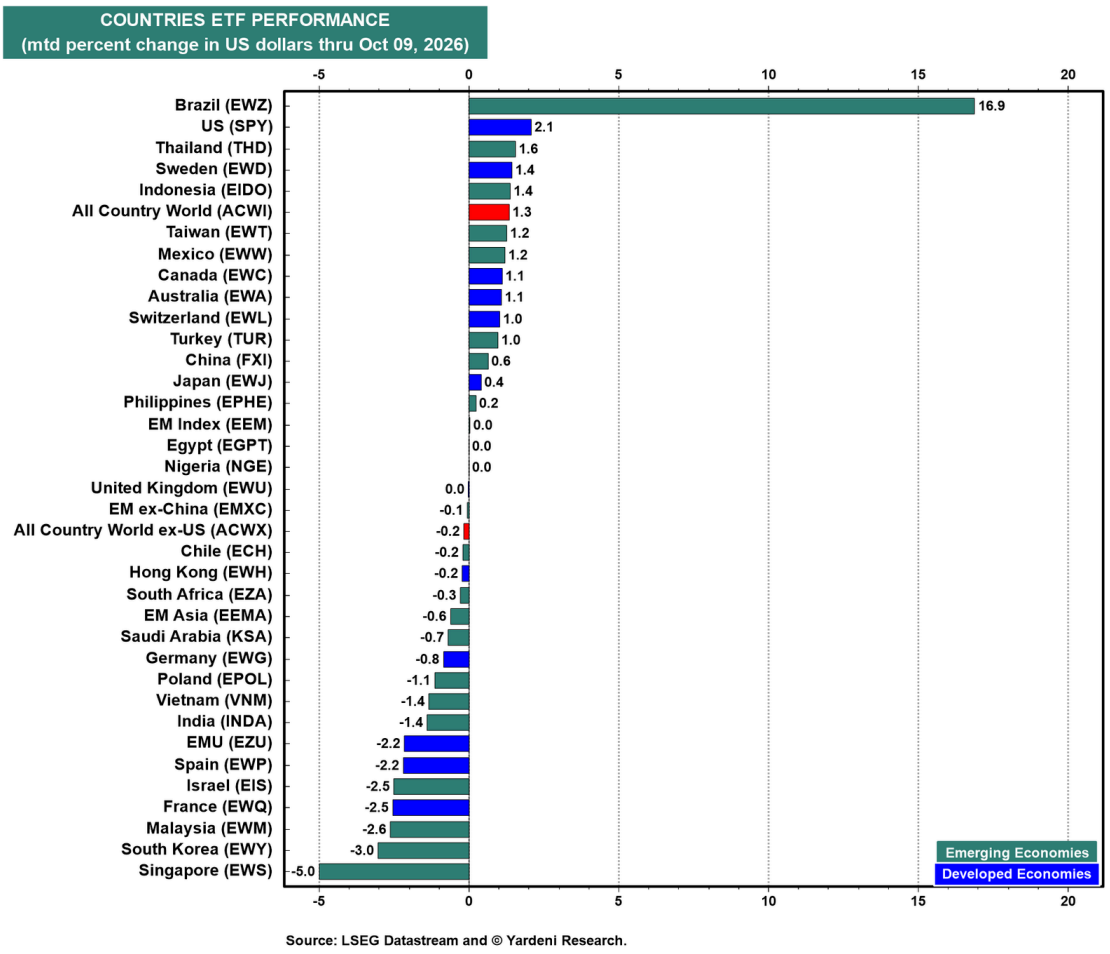
So far this year, the US has held onto its 65% market-cap share of the All Country World (ACW) MSCI (chart). Japan's share has also held steady at 5%. However, Europe's share has slipped (13.3%) to the advantage of the share of the Emerging Markets (12.0%).



Nevertheless, last week, the US outperformed the Developed World ex-US as the French debt crisis weighed on European stock prices (chart).



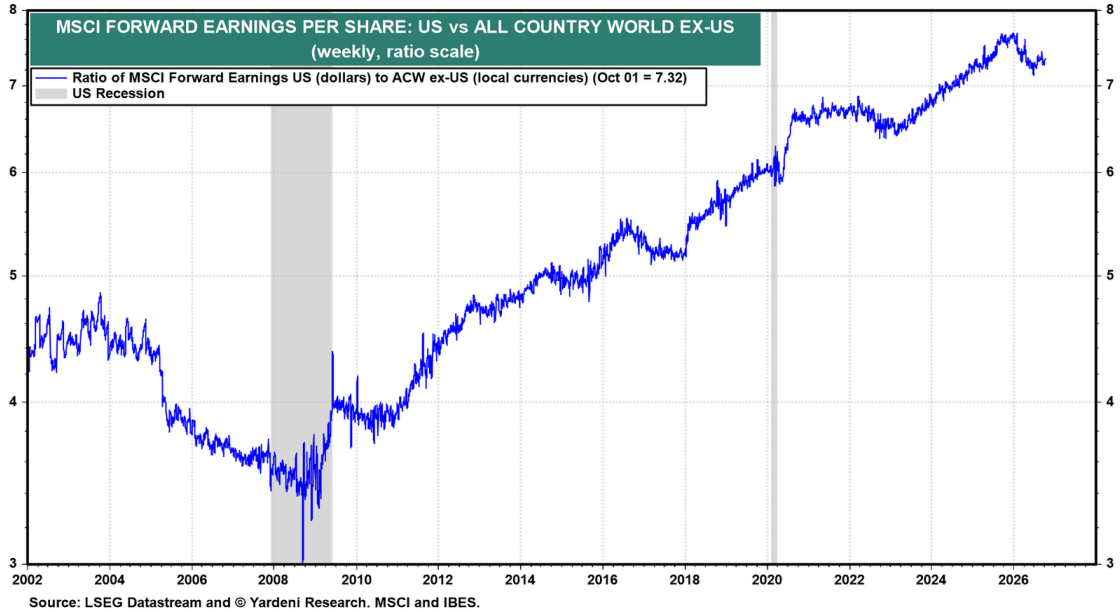
So far this month, the US MSCI is the second-best-performing stock price index we track (chart). Brazil was the best-performing in response to first-round presidential election results showing conservative Flavio Bolsonaro, son of former President Jair Bolsonaro, exceeding expectations in the race against leftist President Luiz Inacio Lula da Silva.



Source: LSEG Datastream and © Yardeni Research.

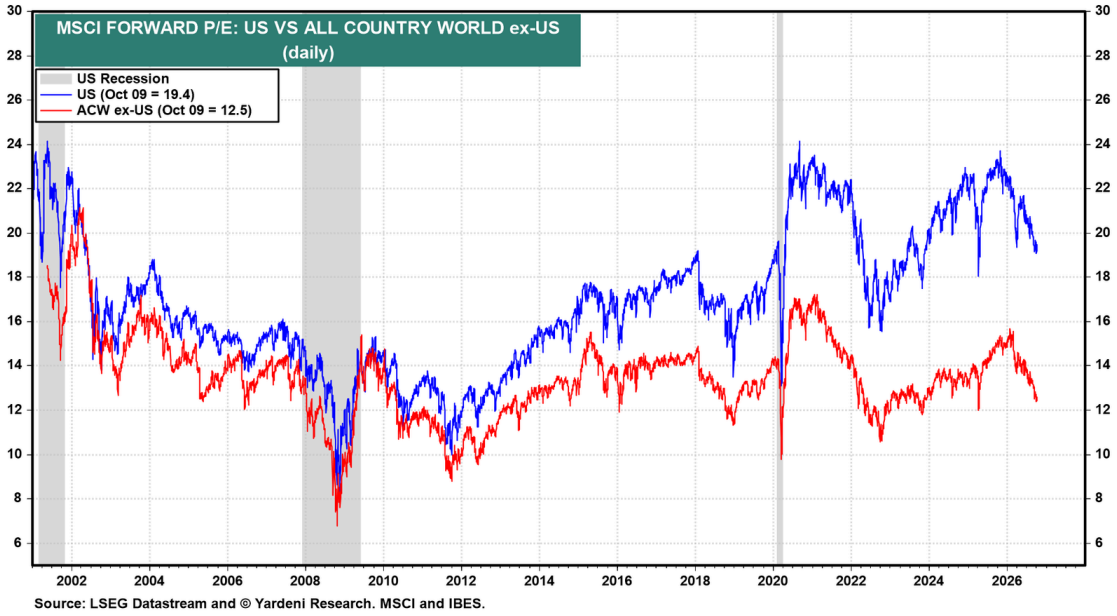
III. Earnings & Valuation

The ratio of forward earnings for the US MSCI to the ACW ex US MSCI fell through the summer this year (chart). It stopped doing so in recent weeks.



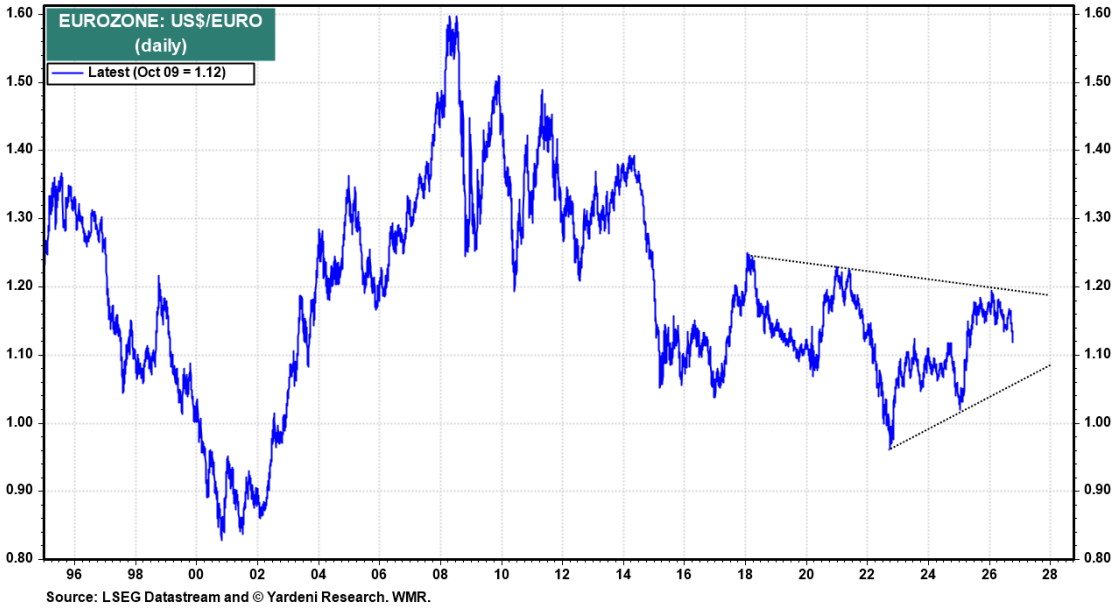
Source: LSEG Datastream and © Yardeni Research. MSCI and IBES.

Forward P/Es have been falling worldwide since the start of the year, as forward earnings have outpaced stock price gains (chart).



IV. Currencies

The French debt crisis is also weighing on the euro, which is down from $1.20 at the start of this year to $1.12 (chart).

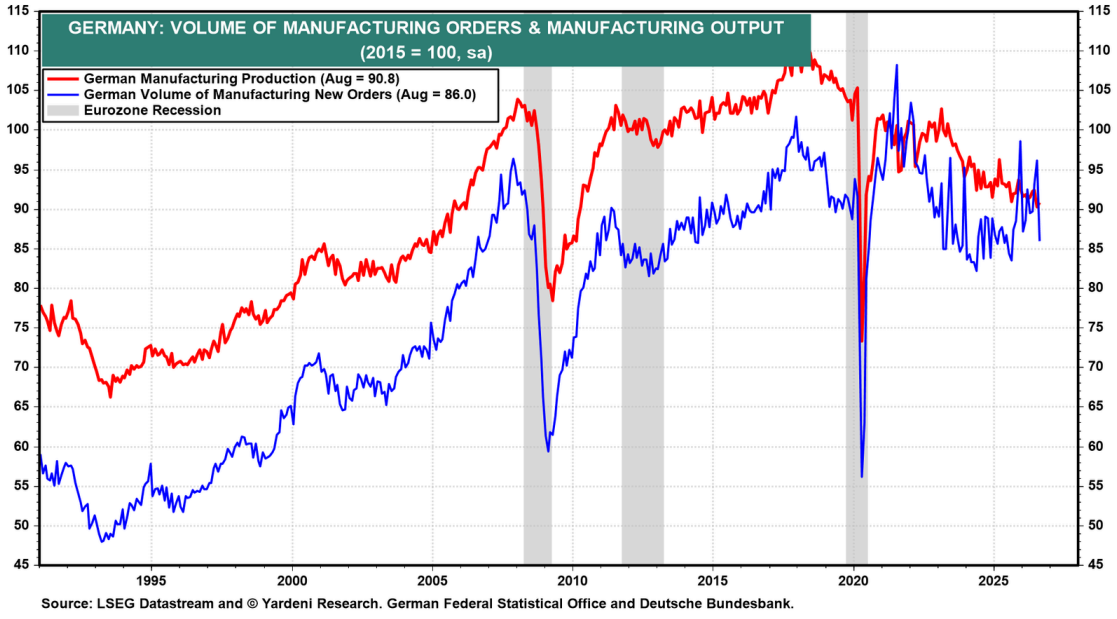


As a result, the DXY dollar index has rebounded to its best reading since early 2025 (chart). We remain constructive on the US dollar.



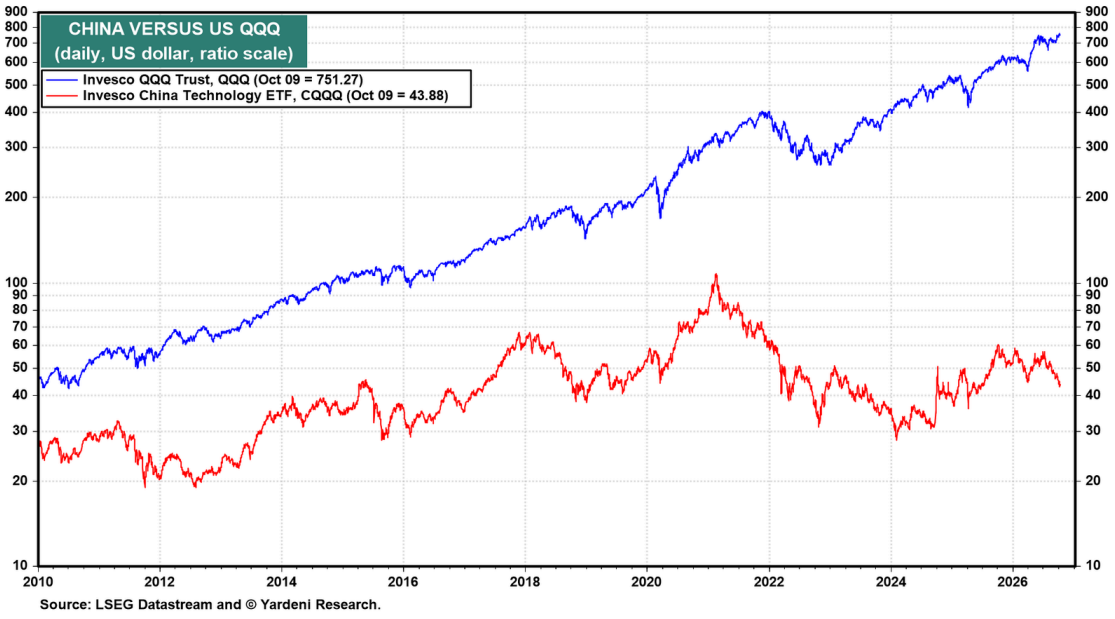
V. Notable

(1) German factory orders fell sharply in August, plunging 10.6% m/m (chart). The primary driver behind the contraction was a steep pullback in large-scale contracts. The headline drop was almost entirely due to a 61.5% slump in large-scale orders for aircraft, ships, trains, and military vehicles, which suffered a major correction following an exceptional surge in July. When these volatile large-scale contracts are excluded, new manufacturing orders actually slipped by just 0.1%, indicating that core industrial demand was essentially treading water rather than experiencing a broad-based collapse.



(2) CQQQ continues to underperform QQQ (chart). While China's long-term industrial policy goals are ambitious, cyclical demand inside China

has struggled to generate the same explosive revenue growth seen in Western tech sectors. Furthermore, China's tech industries carry a persistent regulatory discount. Chinese technology sectors have historically been vulnerable to abrupt policy shifts, anti-monopoly crackdowns, data security reviews, and ongoing geopolitical tensions (including US–China trade restrictions and semiconductor export controls), which compress valuations and deter long-term institutional capital inflows.



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